

classes that can push the efficient frontier further into the northwest quadrant.

As a prelude to [Part Two](#), here are five points about discovering asset classes to consider:

1. It is nearly impossible to find low-cost investable asset classes that are consistently negatively correlated or even consistently noncorrelated with each other. Most of the asset classes you find and ultimately use will have positive correlation with each other at least some of the time. There is simply no getting around this fact.
2. The correlation between asset classes can and does change often. Investments that were once noncorrelated may become correlated in the future, and vice versa. Past correlations are a hint to future correlations, but not a reliable hint. Don't trust any research report or book that says, "The correlation between asset class 1 and asset class 2 is X," because by the time those words are printed, the correlation may have changed. The future risks, returns, and asset-class correlations cannot be known with any degree of certainty. Consequently, a perfect blend can never be known in advance.
3. During a time of extreme volatility when you want low correlation among asset classes, positive correlation can increase dramatically across all asset classes. Almost every asset class with any meaningful risk went down during the 2007–2009 credit crises. This list included commodities, which were heavily touted by some advisors as a safe haven during bear stock markets. They were wrong. Commodities returns were lower than stock returns in 2008.
4. U.S. and foreign stock markets are particularly vulnerable to higher correlations in bear markets. After the World Trade Center was attacked on September 11, 2001, all stock markets around the world fell by more than 5 percent. No amount of global stock diversification helped a portfolio during that horrific time.
5. A portfolio with more asset classes is better than a portfolio with fewer asset classes, within limitations. Any diversification benefit